Could Gold Hit $10,000? Why This Inflation Cycle May Have Years Left

Podcast: Know your risk

AI Executive Summary

1. Core Thesis The episode argues that the current economic environment is defined by a high-inflationary cycle with no near-term de-escalation of geopolitical risks in the Persian Gulf, which will likely persist until US debt levels and inflation are fundamentally addressed. While traditional equity sectors like AI see short-term volatility driven by retail sentiment, the hosts contend that precious metals (specifically gold) offer superior long-term protection against eroding purchasing power. High interest rates are viewed as structurally necessary given strong nominal GDP growth (~8%) and persistent deficits, making a "deflationary collapse" narrative less relevant than managing exposure to cash inflation risk before midterms.

2. Key Arguments & Data

3. **Gold Price Trajectory:** A core thesis that gold will print $10,000 over the next five to ten years before the current inflationary cycle concludes, with potential ceilings significantly higher ($25k+ per industry estimates like Luke Roman). This outperforms equity performance on an inflation-adjusted basis.
4. **Commodity Prices:** Oil (Brent) is approaching a new high of $100 and WTI ~95; Diesel is hitting an all-time high at $6+. The hosts anticipate oil prices could reach the $130-$150 range if conflict persists, though market mechanics are currently "spoofed" due to spot availability despite supply disruption.
5. **US Debt & Inflation:** US debt-to-GDP remains high (>80%), contributing to inflation rather than allowing for inflationary relief via printing money. High rates persist because the Federal Reserve cannot afford a deflationary collapse given nominal GDP growth of ~8% and the need to service medical care/social safety costs which are inflation-linked.
6. **Geopolitical Escalation:** Iran is aggressively escalating missile attacks (3-4 times daily), testing hypersonic tech, and threatening Strait of Hormuz control via tolls or blockades. Houthis attacked Saudi energy infrastructure (refineries/storage).

7. **US SPR Shock Risk:** The US Strategic Petroleum Reserve releases have ceased, but the market expects them to resume soon; a sudden cessation is viewed as a critical supply shock risk (the "Jaws" moment) rather than magical bear support.
8. **Interest Rate Consensus:** Market consensus on higher rates is now considered correct despite past hopes for cuts; bond markets lack conviction due to the impossibility of rate cuts while the Fed competes with AI sectors to issue paper and growth remains strong (~8% nominal).
9. **Market Volatility:** The SMH (Semiconductors) / Software ratio bounced off the 200-day moving average after a bad day for software. Bloom Energy +10% on an AI trade narrative, but deemed too volatile/risky to hold large positions due to drawdown risks.

10. **Upcoming Data:** PPI Thursday and CPI Friday are critical; current expectation is 0.4% month-over-month (~5% YoY), which will be set at a high bar given rising input costs (AI, diesel, food).

11. Actionable Takeaways

12. **Trim Oil/Commodity Exposure:** Consider trimming positions in oil and commodities as they approach record highs ($100 Brent/$6 Diesel), anticipating potential escalation to "drunk man at the wedding" levels where prices spike again for political reasons (like a gas bill spike).
13. **Adjust Cash Allocation:** If holding cash due to paranoia, rotate at least half into gold or silver to protect purchasing power. Avoid locking in fixed-rate assets like rental homes or car financing that may not gain value on an inflation-adjusted basis over 5-7 years.
14. **Avoid Bond Bull Bets:** Do not bet heavily on bond rallies; rates are likely higher for a while due to nominal growth. Wait for a "capitulation" move (e.g., CPI data) rather than relying on current bond market consensus.
15. **Monitor AI Volatility:** Treat high-volatility AI plays like Bloom Energy with caution; manage risk carefully as these stocks resemble leveraged options trades more than traditional investments due to erratic swings and valuation risks.

16. **Prepare for Inflation Cycle End:** Track signs of public behavior shifting away from inflation (e.g., retail tax return money buying gold) as signals the cycle is nearing end. Expect this to coincide with the US debt-to-GDP ratio lowering before a reset into a "normal playbook."

Full Transcript

I will not be surprised if you see gold print 10,000 over the next five to 10 years before this inflationary cycle comes to an end. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the Daily Dots. And I'm joined as always by the brain trust himself, Chris Chase Taylor. Let's kind of the same as always, man. Definitely going to have to do another straights of our lives. We'll have to review that. But before that, let's get into the rundown. Rates, rates, rates. Yep. So S&P close down 0.55. And someone's got the good news because equal weight was actually down over 1% That was kind of ugly down about about half percent on Small caps the cues were the winner of only down point oh eight though max seven was down half percent Although X us down point four. So a little better than SP Dollar was pretty flat As far as the max seven stocks went you didn't really have too much action other than Tesla up four, though it's been volatile, and that isn't even that impressive, considering what it's done lately. Oil up another one and change, and that's the after-hour quote. You're up to 94, and Brent is actually at 99.30 for front month Brent, so you're about to hit 100 bucks for Brent again. A new high on the December contract for both.

Gasoline keeps moving higher speaking of we talked about on a prior episode how we thought diesel could hit six year at about 585 and and rising So we're probably we might hit six this week six bucks on diesel which today was already an all-time high for diesel Just kind of kind of get

worse from there Gold down about gold silver both down close to 1% same for gold miners Same for honestly the the rest of the metals were all down about 1% to Yield is pretty flat. You're up about three basis points on the two year, but pretty flat out on the curve. Vol though, front month vol. And that had to be a contract flip because you were up like 10%. But so spot VIX up 2.75, the second contract up a little over 1% VXX ETF up one and a half. So call it one and a half percent for vol today.

AI trade had another really good day. It's been a nice like two, three days now. DRAM up 2.4, SMH up 1.2, Bloom Energy just another monster day up about 10% for it. And because of that bad day for software. And you actually, if you chart that ratio of SMH to software, you're kind of bouncing off the 200 day for that. I haven't looked at Bloom Energy in a while. I'm pulling it up right now. Yeah, I just lost your audio. I don't know if you hit that button or not. Okay, can you hear me now? Yeah, yeah, yeah, good. Huh? So when I tab away from the screen, apparently it cuts my audio. Anyway, I haven't looked at Bloom Energy for a long time. Now I know obviously the narrative behind it. Is this thing just wrapped up in the whole narrative thing and it's just gonna swing hard? I mean, the thing's moving like a chip company. Yeah, I mean, at the end of the day, they are, you know, It is a pure AI trade at the end, because they are kind of preferred power for a lot of the data centers because they can give you power, you know, in a few weeks instead of in a few years or a few months. So it's expensive power. And because of that, they make a lot of money. But for now, it's just that, yeah, it's just a great AI trade as long as, well, you say for now, I don't know if the grid will ever catch up fully to what they need given all the constraints, but There's a lot of hate for it out there. I think it's decent. I don't think you should own it whenever it's blasting off to do highs the way it was. But it's been a good one to buy in these big pullbacks. So I got interested in it a few weeks ago, started falling a little closer. In an environment like this, man, it's just so hard to.

to pin down entries or when you want to get, just because these things are trading so erratically, right? Meaning they're so expensive and they're just swinging in these massive ranges over short periods of time. I just, you know, I mean, maybe that's just the cost to be in the trade, even if it does work out. I just, you know, it's just hard for me to get involved in things that

are swinging that hard on, you know, which is it's really hard to attribute it to anything other than just emotional retail, you know, levered type trading, you know, all the, all the change slosh into one side of the boat one day. All that, you know what I mean? It's just, I, I continue to look at so much of that stuff and just go, yeah, you know, it's just, it's hard. Like I, again, I haven't looked at Bloom. So maybe it's not, maybe the valuation isn't that crazy out there. But I mean, so it's like a lot of the other stuff you, if you do it on 2028 earnings or something, it's like, oh, it's not bad. If you do it on this year's earnings or trailing, you're like, oh, so it's just, you know, it's not, it's not something you have 6% of your book in or something. That, that, that's the main takeaway, I think. And it's not to me, it's not something you own in size. Once it's back at those highs, because the drawdown risk is just, I mean, it's what it just did. It's had, you know, a 50% drawdown probably three times in the last two years or something. Like, yeah, it's all about.

Managing risk on something like that is just different from managing risk on Shell, Shell Oil Company. Those aren't the same risk management tools. Yeah. And I understand the uncertainty and I understand it. When you combine the revolutionary moves that are happening in AI, the unbelievable potential of it, all the things that we know. And then you throw that in this environment where you've got record retail involvement. options markets have exploded. I think you get to look at stocks like these. And obviously, you have to be involved in it one way or the other. You got to have some exposure to the sector. And yet, you combine those factors together. And it feels more like you're playing like Levered Pie Gal than you are investing. I mean, it's crazy. You've got to willingly sign on.

for these moves and market cap and these swings that are completely irrational. And it's just, it's just a hard one to handicap. And I mean that, you know, all the things trading like that, it's just, I don't, again, I know this sounds like a cop out to a lot of people. I just continue to put that stuff in the too hard bucket. I don't know. Yeah, I don't know. You know, then people are like, oh, you got to buy it. It's cheap. And I'm like, it might have fallen a lot, but it ain't cheap, you know, depending on you know, this thing moving out, you know, just all the different unknowns that can pop their head up at any given time, man. It's just such a, it's a tough one. Um, what

else do we see today? Let's, let's kind of get right into straights of our lives because, uh, that's, that's where we should go. Well, bottom line is you start Crest in 95, 100 on WTI Brent pushing up to 100 105. You may not like to focus on oil, but that's what you should be focused on. Right. Um, you know, it's, it's.

You know, oil starts crossing over a hundred. I feel like it's that drunk guy that shows up to the wedding. He may not have been invited, but it's not going to matter. Right. He's going to, he's going to make his, he's going to make his presence known one way or the other. So where are we at over the weekend? What new developments we get out of this today's edition of streets? Yeah. First of all, what you just said, they reminded me of Jim Grant. I remember him before, before we got the inflation back and he's always saying inflation would arrive uninvited and unannounced. And he was right. Um, yep. So if you go back to the weekend, the big news from the weekend, really, well, first of all, Iran themselves, they've gotten more assertive. Like instead of just like launching one, you know, missile a day or whatever, trying to hit one of these shipments going through a day, they've been hitting, they've been launching like three, four times a day lately. Um, unclear. We had that, we had that one day, not too long ago where didn't they hit six in a single day?

I don't know. I know there's been days where they've launched at least four different missiles at four different times. And importantly, they have threatened the actual, like our ships and the blockade itself. So not just like hitting an oil tanker here and there, but like shooting at us, which is a little different from lately. And they have even tested potentially reportedly, but not necessarily confirmed. some of their hypersonic stuff that is a lot, obviously, a lot harder to fight against. So escalation there, they've talked about pushing out their zone to where ours is. And less has been getting out the last few days than was. That is pretty clear from Kepler data and stuff. Most importantly to me, though, from the last few days is the Houthis.

Houthis just went off in the last couple days on Saudi Arabia and they have hit At least I think three different energy infrastructure sites including pretty significantly one of the refineries to include some, you know oil storage tanks and stuff. So there was multiple Energy infrastructure sites offline in

Saudi Arabia this morning because of strikes from from the Houthis. So that's getting nasty and then Just a couple hours ago, the US hit, I think it was three Iranian tankers, which is in our new like tit for tat, you hit a tanker, we hit a tanker thing. And at last check, they were, they were launching a bunch of ballistic missiles, including some of their good ones that have the multiple warheads that come out and maneuver at Jordan. So they basically said, like, hey, if you hit our ships, like right before we hit the ships, they said, if you do that, we're going to hit, you know, a bunch of your bases in the region.

And then they said, hey, the ports that are servicing the Americans in Kuwait. And where was the other place? Bahrain. Basically, they told those countries to evacuate those ports that have been helping us because they were going to hit them. So we are definitely in an escalation cycle at the moment. What are the paths out of this at this point? Again, I feel like it's kind of futile to sit here and talk about how we got here. how this is far stickier than anybody thought. You know what I mean? It is what we all know now. I like to think that it seems to me at least the daily chorus of people popping up and going, oh, we're right on the cusp, the 3D chess thing is coming. You know what I mean? I feel like the reality of the situation is kind of dawning on people or has dawned at least or hopefully should. At least I think people are disavowed of the notion that we're gonna be done in two to three weeks.

Hopefully that hit them three months ago. But it is what it is now. Where do we go from here? Because I mean, when you're sitting here, this just feels stickier and stickier and stickier in a weird way. The longer you stay, the harder it is to justify leaving, right? Because just the more entrenched costs there is and the more ties that bind, if you will, for lack of better term. Yet at the same time, staying and winning, you know, that's even more confusing. I don't even know what that means. I don't know what that looks like. I don't know where this goes from here, man, except, you know, you hope, I sincerely hope it doesn't escalate and I would like to believe that we won't let it escalate to a point where it gets out of control. But the part of it that's starting to scare me now is you're kind of running out of room for it to go any way other than escalation.

And I hope that's not the case. Yeah, I mean, now that you're pressing 100 record prices on diesel, to me, like the political headwinds get severe again. Each time we've gotten up here in the past is when we got Taco Day, some sort of big rumor that the imminent piece was a foot or whatever. So like my spidey sense there, especially on a day where Kramer's out touting how unstoppable the oil trade is. Literally that happened the day like the more like my spidey senses are like we're gonna We're gonna escalate right into like a deescalation. So But there's no sign of that right now. Like we're still saying we're not talking to them You know, we're gonna we're gonna show him who's boss with the economic stuff But my assumption is like yeah, maybe Scott Besson has the patience for that Maybe Pete Hegseth has the patience for that. I don't think the president was gonna have patience for that So I think my assumption is he's gonna get frustrated by the fact that whatever we're doing economically hasn't forced them to change their tune in any way. So I still think the most likely path out of this is something that gets a spike up enough to feel the pain to actually get out of this thing. But what that's going to look like is some arrangement where we have to either explicitly or implicitly give a nod to the fact that Iran controls the straight and they can charge a few bucks to get out.

You know, I look this is probably a this is probably a pyrrhic hope and and they Don't even know that's the right way to put it, but this is probably a feudal hope And and when I say this I really hope it doesn't come across there again because I couldn't mean it any more the opposite but you know looking at world events especially watching the way The 2003 incurred, you know invasion in Iraq went down The aftermath of all of that, you know all the things that we know A lot of the immature kind of GI Joe way that I looked at the world got burned away, you know? And if we could come out of this with a much great, and like I said, this is probably a pointless hope because the one thing about human beings that we've proven so good at is not learning lessons.

If people could learn why I think guys like you and I didn't like this move to begin with right like meaning So many people were focused on Iran being bad, right and I agreed with that you agreed with that But when we're talking about military conflict when we're talking about we're talking about kinetic warfare The other side being really bad doesn't always justify a

move meaning it's can can you actually do something? Is it going to be worth the blood and treasure? Is it going to be worth the risk of greater entanglement? Those are the questions that should we be asking. Is there a trophy big enough on the other side of that to justify the crucible that we're about to run? That should be the question. Not are they good or bad? Not should they have a nuclear weapon? All of those, that's all supposition. It's all theoretical. Meaning the only reason we should be having that conversation is if we're 100% sure we can affect those outcomes. And that was the issue. It wasn't about whether we liked the regime or whether the regime should get replaced. The question was, did you have the apparatus? Did you have the leverage? Did you have the means to actually do something and change that outcome? And as we thought going into it, no, you don't. And how do we know that you're seven months in and you're no closer to resolution? If anything, you're further away, right?

If more people could learn that as it relates to foreign policy and I'm not sitting out here saying that you know, I'm the next coming of well, he wasn't you know, I'm blanking on the guy's name, you know the Jewish guy king of foreign relations for 50 years Kissinger. Yeah, I'm not sitting here saying I'm brilliant I figured out something everybody else did but you know you talked about this a lot you talked about the constraints of kinetic warfare you talked about the limitations of of kinetic action. And it just is what it is. It's not this panacea that deals with everything. And I feel like this current situation is a perfect example of that. And more importantly, not more importantly, but another factor you have to consider is when you get involved in these things, they are costly in terms of blood and pressure, in terms of running down munitions, but also in terms of credibility globally, right? Meaning this has not helped us in any way, shape or form. It hasn't helped us economically.

It hasn't helped our perception or the perception of our ability to project power. It's just, man, it's just a bad hand. And when you get a bad hand in poker, what do you do? You fold and play another day, right? Live to play another day. And I just, like I said, that's probably a childish hope. But I do hope that this burns in people's brains. The sad part about it is you kind of thought we were there right after Iraq and Afghanistan. And then watching people just get sucked right back into it. You're just, you know, I also think

it's one of those things too. You can say, you know, were there good intentions? Sure. I don't think Trump had bad intentions, but, you know, as we've said, the road to hell is paved with good intent. I just, anyway, nobody needs to hear any more of my political pining. So I guess we could summarize this by saying there does not appear to be any other easy outs, any other things developing.

that would be positive. I know that there's been a lot of rumor discussion about greater alliances in the Gulf Coast region. I wonder what our reaction is. Is there been any way to gauge what our reaction on a policy level would be to that? So would we be anti that? I mean, I could kind of see it going either way. So the funny thing about that is like the president has talked about it. in a good way has like been like, that's good that we want to see that. But I think the reality is the way it would unfold is not in a manner that we would like. So like, I think we'd be down for like the region to get together and have some pact that made sense right up until we realized all the ways it didn't serve our and more to the point, Israel's interests. And then that's where we'd be like, oh, hold on, you can't do that. You know what I mean? Because at the end of the day, this grouping of Saudi, Pakistan, Turkey, probably going to be Egypt, UAE, and then they're talking about bringing in, or not ex-UAE, sorry. They're talking about bringing in Iran into the fold of this thing. That's where it makes it obvious to me. Obviously, we would not be cool with that if it was this regime and they were part of that.

agreement. But at the end of the day, the only way this agreement will hold is if there's not a bunch of external influence. If it's just people in the region that have to get together, sit down, learn how to live with each other, make it all make sense, draw out some rules of the road that they can all follow so that everyone's reasonably happy. That's the only way this is going to be durable. So if it's like a golf packed, but also a whole bunch of influence from the West, or the east, whatever. It's not going to be as durable as if it's just the neighborhood deciding how they're going to get along and divide things up. So it's tricky. He's paid good lip service to it, but I think if he knew what was actually going to happen there, he would not appreciate it. We're going to lose a lot of influence there.

Oh, yeah, no, and I was gonna say that's the hard part about it, right? While it may be constructed for the region as a whole, I don't see any of those scenarios playing out where Iran is not once again in a much more powerful place than they were prior. And that's the whole part of this that I'm struggling with and I've struggled with it from the beginning. It's just no matter how I turned over the cards, I don't like the idea of Iran having more influence and more control and more power. And that was why I opposed this from the very beginning is just every time you laid out the cards I just didn't see it playing out any other way, you know You know based off the belief that I didn't think Trump was gonna be willing to put boots on the ground and he hasn't and it's just That's sort of been what it's been. Where do we think? As far as projecting where oil goes from here, I don't think I've ever felt more confused just because Usually this far along into an issue like this, you usually have a pretty good finger on the pulse of what's dry. I mean, generally speaking, we know what's driving oil prices, right? But there's been a lot of shenanigans, let's say, surrounding the price of oil. It still amazes me that, like I said, we're six, almost seven months into this now. And I still am watching things play out online. And I still don't really know for sure whether that's gonna have an impact up or down on the price of oil. Where are we at generally speaking? Do you think 130, 140 is still in play? Yeah, where are we at on that? So as long as the conflict is going and the straits not normalized, yeah, those aren't possibilities or probabilities. You get to 150 on oil.

The way to think of it though is to think about all the things that kept us from getting there this spring or the summer, which was the lack of Chinese buying, the fact that you were able to get the straight back to like 60% of its normal output through sneaking some through the straight itself and then through the bypasses. At the moment, the Houthis are throttling the bypass to some extent. the Iranians are throttling how much was it was getting out of the street to some extent. And the Chinese are back to buying. Not all the way back by any means, which is scary. Like we're basically at 100 bucks on Brent and the Chinese have barely stepped back into the buying. So if they get serious on the buying, like, then yeah, it's going to be ugly. And you can look at like Chinese refining margins. They're basically at multi-year highs. So they're starting to increase throughput, which is good for the world from a product standpoint, but not great from the oil standpoint. If

that keeps up, if they keep picking up there buying, yeah, the 130, 140, 150 note, there's nothing to stop you from getting back up there. Now you would hope that that would coincide with products getting a little better, but. And just to inject that in there, what Chase means there, guys, is like, Yeah, it's a good thing they're putting out more distillates because that will bring down the price right gasoline jet fuel things like that problem is is that increases the draw increases oil demand, right? So that's that's what you were referring to anyway Okay So I what I fear is that there is this moment. Well, I don't fear it. I know it's out there somewhere I have no idea where that point is but there is a moment where the oil market quits looking at The next transaction right because it's almost it almost feels like we've spoofed the tape a little bit where yes we're drawing down sprs and we've still got a very statistically meaningful amount of global oil production that is offline. The reason we're not trading at one fifty one sixty is we've kept the spot game gone right like meeting if you need a barrel you can still get it and the markets not looking out at future supplies it's not looking at inventories because they've been able to meet that demand.

right at spot right just by by doing that. There is a moment though at some point where the market stops looking at that and goes wait a second these inventories are too low now we're going to start baking and inventories and more importantly aggressive rebuilds of inventories right because the longer this goes on that's the other thing you know we're just talking about the SPR there's other right that's happening not just here that's happening other places and the longer this plays out the long again, you can take time back filling SPR. You don't have to do it instantly. You don't have to do it at double the price or whatever, you know, Trump was saying originally. But there is a moment where the oil market goes, all right, we're done looking at spot. This is this is becoming a serious problem. And up you go. Yeah, I think I think a moment that is obvious for that is when the US SPR releases is over. Like if we if we're going to push this war all the way to that point, whenever that is, then you have a problem because the market treats SPR bearers as magical unicorn bearers, not as supply. I think it's a little weird, but it's how the market treats it. It's like whatever, that's oil. It may as well have been pulled out of the ground via production yesterday. I don't care that it came from your strategic reserves. So if you stop pulling those out, that's like three, four, whatever percent of global supply just poof gone. The

market would absolutely You don't have to punish that. So that would be one of those moments. And we're not really that far away from that. In fact, people still think we're going to start refilling the thing in a couple of months. So if you want to know where you're at with that. But the flip side of this is because of this, because of everything we're talking about, the odds of something intervening here, whether that's just Uh, another big giant jawbone of that's fake or an actual, like, you know what? Forget it. Like you guys can have the straight. We're going home. Uh, those odds get higher with every dollar you move higher here. So yeah, I never, for us today was the first day we had trimmed a little bit and it's like, all right, if, if Kramer likes it, and if I know, and if I know the boss is looking at it, not loving it, like I want to put some of a pocket.

I know I didn't say anything when we were on our investment call this morning and for those people that don't know We do are where we get all of our analysts and all of our portfolio managers on a call every Tuesday morning But we were doing our call this morning and you were talking about trimming oil I was going right along with it just because it reached the levels that we wanted to I had not I was not aware that our good buddy Jim Kramer was talking about the unbeatable oil trade That makes me feel even better about pulling trimming back there I just, he is the best oil indicator, right? He has a great track record for it, for sure. 18, was it 18? Somewhere between like 18, I want to say it was somewhere between like 15 and 22 WTI. It's oil's uninvestable. Yup. And I just went back up the truck, back, we need more oil. We don't have enough oil. It's kind of like that Jaws moment, right? We're going to need a bigger boat. Anyway, yeah, so yeah, good, good from on that one.

The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. What else are we looking at, man? I know that rates are... I thought we had an interesting conversation about rates today and I kind of felt like both you're in my takes summed up my overall view and I'll explain what I mean. I increasingly get concerned when the whole market calmly agrees that this is the way it is, right? And so

I kind of feel like there's been this general consensus that higher rates are inevitable, right? I'm allergic to that, just like you are. At the same time, I push back. It's kind of two sides of the same coin to me because Usually what I like to see is I like to see some type of capitulation move. I like to see some kind of gap, right? I like to see, you know, and, and, you know, maybe this isn't even really realistic, but, you know, I like to see like the 30 year blowout by 30 to 40 bips in a week, you know, 50 bips hit that 6%, you know.

Things like that. And the one issue in terms of playing it either side or the other of, do you have a trade on for higher rates? Do you have a trade on for lower rates? It does concern me that higher rates seem to be consensus. At the same time, we haven't had anything that is reminiscent to, now, again, the structure of our market is different. We have a different currency. I'm not saying it's a perfect comp, but it's not like we've had a Liz trust moment. You know what I mean? It's not like the market started trading erratically and, you know, yields flew out of control and the 10 years up 150 bips in a week. And so that being said, I mean, if you just look at a chart, I don't really have a high conviction one way on rates. I actually think that you're kind of in a homeostasis with rates where I could kind of see him settling in here for a while. Where are you at on rates? Yeah, this was tough for me. Like, first of all, I think the easiest framework for me is like, hey, if the war is on, Uh, and it was getting more expensive than it's, it's, it's really difficult to like rates. And unless you saw, and to like bonds, unless you saw it having a meaningful impact on growth and we're just not there, like the, the GDP now cast is raging strong. Yeah. Are you at 4.5? Yeah, exactly. Like, as we talked about, like, nominal growth. Exactly. Nominal GDP is about eight. That's huge.

And it's really hard for you to go down on that. Forget inflation. It's inflation was tame, but you had that. That's just hard for rates to go down in that environment, especially when you're also competing with the AI fellows to sell paper, right? One other thing I want to throw in there are really great tips. I don't want to throw you off, but to the folks out there that are still buying the narrative, we'll grow our way out of rates or we'll grow our way out of this. We're talking about eight, eight and a half percent nominal growth and we're still running deficits at 6%. Okay, so Grow our

way out of what and and right yeah, and I'll still a point from Lou Gromen on that It's not like the government owes some dollars that it can inflate away. It's his point like, you know They they owe a bunch of people, you know medical care that has real stuff involved and real labor involved and like it's a lot of stuff that keeps up with inflation so like It's compounding almost If you do enough inflation, you can inflate your weight out of debt. There's no two ways about that. Obviously that has giant side effects, but they'll act like they don't exist or they're small, but they hurt. It's taxes just a different way. Back to yields. If the war ends though, or something that looks like the war ends, whatever, it's something that gets energy prices to back off, then you're in a situation where totally different ball game.

because that takes a huge chunk of the inflation and pulls away. And then I would feel different. It doesn't mean I would love bonds. I might trade them for three months or something. I would want to own them. But to your earlier point, I just don't like it when everyone seems to agree with me. And we've gotten to a point on rates. Because we've been here for a long time. I've been a bond bull basically all year. Been fine. Wasn't really a consensus thing now of a sudden there's magazine covers. There's everyone seem to agree to go back to Kramer. He was talking about all the problems and rates and what how can we get? How can we do anything about this or whatever like last week? So like He's he's a perfect like he puts a frame around it, you know like so But to your point, I think you made an excellent point that What, what really gets you there? It's same for oil. Is it, is that one nasty move where everyone like freaks out capitulates where like that last guy's like, shoot, I, I'm not a bull anymore. So not, not to start throwing people into the bus. There's someone out there that's a, that's really putting their stake in the ground right now as a bond bull and not, not like one that has been since forever, but like only in the, like the last few months year or whatever. So like, If someone like that where they'd be like, whoa, just kidding. I was wrong. Like I'm back on your team. Then that's the moment. The 10 year goes up 20 basis points on a hot CPI and everyone freaks out. That's my moment where I'd be like, should we buy some TLT question mark? You know what I mean? Yeah. Well, and like the current narrative around the, especially coming out of the administration, it's such a non sequitur, like sitting there talking about, you know, our credit rating as it compares to France and all that kind of stuff.

Like I just sit there and I'm like, let's have a conversation about things that actually matter. Okay. First of all, nobody look, if we're going to make this about our ability to actually repay this debt in real dollars, that ain't going to happen. Meaning, like we know what the eventuality is. Okay. So nobody's going to sit there and be like, oh, the sterling faith and credit of the US government, right? They know they're going to get paid back. They just know they're going to get paid back a fraction of what, you know, exactly. It's baked into the cake. And when you start talking about this, do I want, man, I'm gonna have to refinance my house in the next six months. Do I selfishly want lower rates? Yeah. Okay. I don't like rates. I don't like the rates. I just bought my wife a car and financed part of it. I didn't like, you know, I was able to buy the rate down, but nobody likes rates here. The problem is, when I look at the underlying economy, I think rates are probably where they should be.

Yeah, exactly. I don't see any. And again, forget inflation, like just on the growth side, like this is where they should be. And then just the deficit. Yeah. Do you see any evidence that we need a rate cut? I just, I, as much as I would like it, selfishly speaking, nobody likes higher rates, but I, I listen to the arguments about we need to cut rate and I'm sitting there going, cut? No. That's crazy. No, it's just, it's just nuts. And that's the, you know, and that's another thing that frustrates me is like, hey, if you wanted higher rates, probably shouldn't have made a move on Iran. That's not helping you. Exactly. You know? Yeah. And in that way, I feel bad for Besson. Like he's in an impossible situation. Like you're in a war in the Persian Gulf. Like good luck keeping like macro, you know, stuck together with duct tape in that environment. Like we're not in a structure that allows for For him to keep spinning all the plates. He's trying to spin while you have you know an energy shock from You know a war in the Middle East like that's just this is an impossible job The the other thing I think too and I was I was talking to a I was talking to a client about this today and I just said look we have to constantly remind ourselves of the environment we're living in meaning If what you are trying to avoid and what you are fearing is the big deflationary collapse, look, you never see never in this business. If that's the monster you're fearing, I feel like you're reading from the script of 30 to 40 years gone by, meaning it is not an option.

it is not politically feasible for them to allow that to take place, right? A deflationary collapse. And we need to wake up and look at the real fear, which is if you got a bunch of money sitting in cash, that's a problem. Okay. It doesn't mean that you should stick it all in bloom energy and SpaceX. I'm not saying that, but right, but put it in things, you know, a lot of people out there, it, you know, coming out of the great financial crisis, taking extra money, going to buying a rental home. Again, guys thinking. You don't want to be locking in fixed assets that are illiquid in this environment. The risk of higher rates is too high. You've got to think differently. And you've got to really start thinking about inflation being the dog that's chasing you. You know what I mean? Meaning exactly. We don't need to fear markets collapsing by 70%. We don't need to fear housing collapsing by 50%. It's like we have to and I know that sounds scary.

Because we've all lived through those deflationary shocks. But we've got to adjust to the monster that's chasing us. And we have to make that adjustment. How do we do that? Look, I'm not saying that when you look out at the board today, there's all kinds of risks. And I'm not saying that we should just look the other way. But what I'm saying is they have pushed the inflationary game so far that just backing away from those practices will create the disaster that they've been trying to avoid for so long, right? So they won't. And I've used this example too, but look at COVID, right? You had 20, what is it? 25, 26% annualized negative growth in a single quarter. Market still finished up 16% that year, right? So, you know, and I'm going to keep bringing that up. People probably sitting there going, I'm tired of Zach saying that. Yes. But what are you? So why are you still afraid of a deflationary collapse? You just saw them turn the economy off like a light switch, right?

Again, throw it into perspective. Great financial crisis top to bottom GDP declined 3.8%. You were down 26% annualized in a single quarter. Stock finished up 16% that year. Take the lessons that are being presented to you, right? Sitting in cash, you know, little things you can do. Maybe you're still a cash guy. Maybe you're extraordinarily paranoid. All right, fine. Rotate half of that cash holding into golden silver or something along those lines, right? That's not a that's not a recommendation not giving you financial advice But these are the ways that you have to think and the way I was

explaining it to my Way I was explaining it to my client and look these are not unprecedented It is entirely possible especially on an inflation on an inflation basis right on inflation adjusted basis that if you went out and bought like a let's say a rental house today, right it is entirely entirely possible that on an inflation-adjusted basis, that thing might not be a net gainer, right? It might be a flat line for the next five to seven years, okay? And if over that same period of time, gold doubles from here, which I don't think over the next five to seven years, that's crazy to think at all, okay? There's your perfect example. While you were sitting there, effectively making nothing in that interest rate-sensitive house you bought, At the same time, gold could have easily doubled over that same period of time. For context, go look at the 70s, right? That happened all over the place. Stock market, very weak performance over that decade, especially on an inflation adjusted basis. Flip over, look at precious metals, they blew them out. Does that mean you put your whole portfolio to precious metals? No, what it does say though, again, if you look at the average composition of the normal retail portfolio out there, that allocation of gold still hasn't happened.

So, you know, I don't know where you're at as far as early innings a second inning third inning But I would say that you're still in the first third of the game at least from my perspective on the precious metal thing that could change obviously, but You know, I I will not be surprised if you see gold print 10,000 over the next five to ten years before this inflationary cycle comes to an end And maybe potentially a lot higher now. I mean who knows I mean, you know, you start talking some of the Luke Roman numbers about adjusting gold to, you know what I mean? You start playing some of those numbers. You're going to hear guys throw out crazy numbers like 25,000. I don't know about all that. All I'm saying is if you think you're capped at 5,500 as far as gold goes, I don't think you are. And I think the, I think the ceiling on that run is probably significantly higher, but, you know, that's just my take. We'll have to wait and see. Yeah. I mean, at the end of the day, I think that all that stuff ends up having legs until American debt to GDP ratio is a lot lower. I think it's under 80. Then I start looking at like, all right, time to start like reshuffling back into the old playbook and not this new, very inflationary one. Plus, I mean, to me, you kind of know it when you see it. Right now, like the public, yes, hates inflation, but no, they do not link it to where it comes from. Whenever people are not taking a chill

out with this deficit because it's causing me inflation, that's when you're like, all right, this thing's about the end.

This is totally anecdotal and because I say this, this probably won't happen. But just for instance, the kind of things I'm looking for, when I see lines out of bullion dealers where people are taking their tax return money to buy gold, that's when I'll be sitting there looking at you going, okay, this has been a good run. Maybe we should start cashing some of this stuff in, right? And look, they want SpaceX, they want Tesla, they want AI. I'm still not seeing anywhere near that. that, you know what I mean? That thrust, that push for that kind of stuff. And so very anecdotal wish I had a more concrete way of kind of keeping a, you know, thermometer on that situation. But I mean, that's kind of, I feel like that's the best, I feel like that's kind of the best you can get. What else you got, man? What else have you noticed? Honestly, nothing like to me, the big one we got coming up this week. Yeah. So PPI Thursday and then CPI Friday. So normally it's the other way around. You have PPI after, which gives PPI a little added importance. And I think PPI is even more prone to be hot right now. So you could have a market event Thursday because of a hot PPI. Now, it doesn't mean it has to happen this month. It could be next month. At some point though, and to be clear, the current expectation for the CPI is to be 0.4 month over month, which is like 5% annualized inflation.

The bar is already set high. But that also, I think, has year over year staying flat. And if it ain't this one, it's going to be one soon. If you look back to where oil was two months ago compared to where it is now, or diesel where it was two months ago compared to where it is now, or all these AI inputs or food, whatever, all these prices are ripping. So it's kind of obvious if it's not this one, you're going to get one soon, that's ugly. And also, we talked about this a little bit last week. The other thing that does not pretend well is it really feels like all of this stuff is ramping at the worst time possible, meaning right going into midterms. Yeah, it's sort of stunning to watch them. It's almost like they're trying to ruin the midterms for themselves, honestly. It is sort of stunning to watch. Because at the end of the day, Just having inflation where it's at's gonna be, I mean, that's a brutal headwind to fight for an election. Yeah, and I'm not suggesting that you should take temporary measures to put lipstick on the pig and make it look good right

before an election and all that kind of stuff. I mean, you've got to have longer-term decision-making, but God dang it, man. This is just playing out exactly like we feared from the very beginning. And it's one of those where I just plant your head in your hands and just watch.

like just one of the most epic cell phones I've ever I uh sorry these are the straights these are the straights of our lives sand through the hourglass yeah like sand like oil through the straight man anyway all right pal that does it for me you got anything else nope good to go all right it's gonna be interesting though like i like i said i i it was so funny i heard somebody else on or came up where i was watching stay but they're like Oh, we were talking about our investment meeting. Marcos was talking about, hey, look, a lot of changes have happened over the summer. He doesn't think portfolios have evolved or reflect a lot of those changes. He's like, look, I'm really expecting to see a lot of fluctuations in movement here in the first two weeks of September, kind of what I was alluding to, right? People coming back from post labor day should start seeing some more action. I think the next two to three weeks will be interesting. So now that I say that, it'll probably be not eventful, but.

Usually, usually we get, you know, something, at least a new footing coming out of Labor Day. We'll see if that plays out. Yeah. All right. You're all good. So am I. All right. As always, you can follow us both on X. I'm at KYR Radio, Chase's App, Pinecone Macro. Get the video feed on YouTube. We're on any other podcast site as well. Just search Know Your Risk podcast. You guys know the drill. For advisory services, go to bulwarkcapitalmanagement.com. Have a wonderful evening. We'll see you tomorrow. You're listening to the Know Your Risk podcast. Download and subscribe to knowyourriskpodcast.com.